

HEDGEYE DAILY DIGEST

Daily Research Digest | August 10, 2026 | Reader TZ: GMT+8

Weekend gap note: Hedgeye does not publish over the weekend. This Monday digest covers the most recent publishing days — **Friday, Aug 8 (GMT+8)** as “Today” and **Thursday, Aug 7 (GMT+8)** as “Yesterday.” Hedgeye timestamps are EDT; add 12 hours for GMT+8.

Top line: Keith McCullough is leaning into a **#Quad3** setup — **Gold** just completed a “textbook” bullish phase transition and all precious-metals shorts have been covered, while the portfolio stays **short South Korea (EWY) and semis/DRAM** as the **KOSPI crashes ~31% from its peak**. A softer jobs report drove the **10-year yield to ~4.59%** (bottom of range), reinforcing the **short-dollar / long-gold** pairing, and Keith disclosed a **new long-steepener trade (bought IVOL)** ahead of next week’s CPI. The through-line: broaden into quality longs (Healthcare, Software, Energy, REITs, EM) rather than an outright bearish S&P call.

Today’s Publications — Friday, August 8 (GMT+8)

EARLY LOOK — “#Quad3 Longs: Gold, Healthcare, etc.”

Keith McCullough · Early Look · 08/07 07:47 AM EDT

Keith frames the day around discipline and action, using actor Jeremy Renner (“Hawkeye”) as the metaphor: process over panic, commit to the **Signal**, and take the next step as **The Quad** shifts. The core investable message is that **#Quad3** — decelerating growth with sticky/re-accelerating inflation — favors **selective longs**, and **Gold is the #1-ranked major asset allocation** in that regime per Hedgeye’s backtests.

The centerpiece is Gold’s “**textbook Hedgeye Phase Transition.**” The Risk Range signaled **higher-highs for 8 straight trading days**, then Gold broke out above its immediate-term **TRADE** level and is now breaking out on **TREND** (bearish-to-bullish). Keith contrasts this with the mirror-image shorts — **Semis** (moved from long to short **DRAM** “right on Signal Time”) and **South Korea (EWY)** — which are printing lower-lows in a bearish **TREND**.

Beyond Gold, the **#Quad3 longs** that are both signaling buy and back-testing well are **Healthcare (XLV)**, **Tech** — specifically **Software, not Semis**, **REITs (XLRE)**, and **Energy (XLE)**. He stresses long-short discipline within the same sector style, citing the community pairing **long Atlassian (TEAM) / short The Trade Desk (TTD)** — same sector, different Signals.

Risk Range™ Signals (Friday, Aug 7 EDT):

Asset	Risk Range	TREND
10Y U.S. Treasury Yield (UST10Y)	4.59 - 4.74	Bullish
High Yield (HYG)	78.95 - 79.70	Bullish
Investment Grade Corp (LQD)	105.4 - 107.1	Bearish
S&P 500 (SPX)	7,375 - 7,826	Bullish
NASDAQ Composite (COMPQ)	24,441 - 26,701	Bullish
Russell 2000 (RUT)	2,901 - 3,058	Bullish
Technology (XLK)	174 - 190	Bullish
Health Care (XLV)	160 - 168	Bullish
Real Estate (XLRE)	44.40 - 46.20	Bullish
Volatility Index (VIX)	14.74 - 17.88	Bearish

Asset	Risk Range	TREND
U.S. Dollar Index (USD)	99.01 - 100.71	Bearish
Crude Oil (WTIC)	72.63 - 82.60	Bearish
Natural Gas (NATGAS)	2.55 - 2.79	Bearish
Gold (GOLD)	4,103 - 4,331	Bullish
Copper (COPPER)	6.40 - 6.85	Bullish
Silver (SILVER)	57 - 66	Neutral

Investment implication: Rebuild/gross-up **Long Gold**, own **Healthcare, Software, REITs, and Energy**, and don't confuse "bearish Semis" with "bearish S&P." A bearish VIX TREND and bullish SPX/COMPQ ranges argue for squeeze setups, not a broad de-risking.

THE MACRO SHOW — Summary Notes, Friday Aug 7

The Macro Show · 08/07 10:22 AM EDT

The show confirmed a **major positioning shift in Gold: 8 consecutive higher lows** in the Risk Range, a bullish TRADE breakout near **~4,101** and a TREND breakout, with instruction to **buy dips**. Critically, **all precious-metals shorts have now been covered** — a material change from prior bearish positioning. The rationale is **Quad 3 + falling bond yields + a weakening dollar**, with the explicit **short-dollar / long-gold** pairing maintained.

On the short side, **South Korea (EWY)** remains a **core short** in "crash mode" (KOSPI **~31% below its bubble peak**), tied to Korea sliding into **Quad 4** while the Bank of Korea raises rates. **Semis/DRAM** stay short even as the broad U.S. tape holds; Keith framed **Nvidia** differently (bullish TRADE/TREND) — "buy Nvidia and short semis" — while flagging trading restrictions and reiterating he is **short DRAM**.

The preferred setup remains a **broadening U.S. market**: the **VIX is in the "Investable Bucket,"** the SPX logged a **4th straight day of higher highs**, and the portfolio is long **equal-weight (RSP)** with the **Quad count at 3-1-2**. **Russell 2000** is the "next man up" but not yet bought. **Energy and Healthcare exposure were increased** (Energy the best sector during the prior day's dip), and **dividend/quality** was added.

Two notable new items: **Dollar Down / EM Up** — the weak jobs report pushed the **10Y to ~4.59%** (bottom of range) and Keith **added to the Philippines (EPHE)**; and a **new curve trade** — Keith **"got long a steepener" and bought IVOL back**, expecting rate expectations to fall into next week's CPI before inflation re-accelerates later in the quarter. Also: **Bitcoin is no longer short** (neutral: TRADE ~64k, TREND ~68k), **Copper stays bullish**, and Signal Strength calls were **bullish MSFT / AAPL / LLY** vs **bearish GOOGL / APP / WDC**.

MOMO TRACKER — Momentum Stock Tracker

Momentum Stock Tracker · 08/07 07:47 AM EDT

The Mag7 basket was roughly **flat (+0.2%)**, but **8 of 9 tracked Risk Ranges showed downside greater than upside** — a cautionary skew beneath a calm index surface. The headline flag remains the **KOSPI crash, now -31.3%** from its peak, underscoring the Asia momentum-unwind risk Hedgeye ties to high-beta U.S. tech and semis.

SIGNAL STRENGTH STOCKS — 67 Stocks (4 Added, 2 Removed)

Signal Strength Stocks · 08/07 11:36 AM EDT

The quantamental long list grew to **67 names**. **Added: SPHR, MDB, ETSY, FRPT**. **Removed: ILMN, RHP**. (Note ETSY was removed Thursday and re-added Friday — a sign of how quickly the Signal churns.)

CAPITAL ALLOCATION PRO — Daily Dashboard | Model Portfolios

Capital Allocation Pro · 08/07 09:19 AM EDT

No new model-portfolio trades were flagged Friday. Housekeeping: **Trend and Tail levels for the 68 ETFs were refreshed using July 31 closing prices** (standard 3-4 week cycle), a new **Key Callouts video was recorded Aug 6**, and the **August Monthly Commentary** was posted Aug 5. The team reiterated its “pull vs. push” philosophy — emails are sent only when the research demands immediate attention.

FROM THE DESK — Macro Week Summary Notes | August 7

From The Desk · 08/07 05:46 PM EDT

The weekly wrap (teaser/link format) bundles the **Macro Dashboard, Weekly Macro Commentary, VIX Gauge, U.S. Monthly Quad Forecast, and Chart of the Week** — a consolidated reference for the week's macro developments.

Yesterday's Publications — Thursday, August 7 (GMT+8)

EARLY LOOK — “The Paradise Paradox”

Josh Steiner, CFA · Early Look · 08/06 07:58 AM EDT

What: A process-focused Early Look using John Calhoun's “Universe 25” mouse-utopia experiment as a metaphor: abundance without purpose creates a “behavioral sink.” In macro, that looks like consuming endless data without a repeatable framework to separate signal from noise.

Why: Steiner distinguishes Hedgeye's two independent legs — **the Quads** (the probabilistic growth/inflation cycle) vs. **the Signal** (price/volume/volatility, the market's live verdict). Oil is the case study: a record one-week shock in March (bullish TREND) inverted to bearish TREND by summer — same commodity, opposite Signal — proving “Trend is a duration, not a perma-conviction.”

Key numbers: Q3 tracking as a **shallow Quad 4** (growth **-17bps to 1.93%**, inflation **-31bps to 3.55%**); the **Aug-Oct monthly path is Quad 3 → Quad 1 → Quad 2**; **August CPI Nowcast 3.60%**; **Q4 = Quad 2** (growth **+25bps to 2.18%**, inflation **+20bps to 3.75%**, monthly 2-1-2); **Q1 2027 = Quad 4**, with **February (63%)** and **May (78%)** flagged as high-probability adverse months. Risk Ranges that day included **SPX 7,354-7,795 (bullish)**, **UST10Y 4.57-4.74 (bullish)**, **Gold 4,029-4,301 (neutral)**, **USD 98.75-100.74 (bearish)**.

Takeaway: Position probabilistically around a shifting distribution rather than anchoring to a point forecast or a permanent narrative. “Keep the why.”

FROM THE DESK — KM's Top 3 Things (KOSPI / Momentum / Sectors)

Keith McCullough · 08/06 07:19 AM EDT

What: Keith's three morning callouts flagging that the **August Quad shift** creates “lots to do” for those on their front foot.

Key numbers: KOSPI **-4.6% overnight**, **-22% in the last month**, **-31% from its #MOAB peak**; QQQ implied vol at a **-19% discount** to 30-day realized (complacent); **High Beta Momentum -2.4%** the prior day (**1-month -14.2%**); **XLU -1.0%** vs **XLV +1.3%**; **SPX 7,354-7,795**, **UST10Y 4.57-4.74%**.

Takeaway: Net long **Software** / net short **Semis**; **out of Utilities, into Healthcare**; bought more **XLE** despite oil's bearish TREND. Longs include VYM, XLRE, IAK, FAB, DESK, NOBL, IPAY, RSP. “Don't be the crowd.”

THE MACRO SHOW — Summary Notes, Thursday Aug 6

The Macro Show · 08/06 10:37 AM EDT

What/Why: Deteriorating KOSPI and U.S. high-beta momentum are presented as a causal risk to speculative tech/semis; the answer is signal-driven rotation, not an index short. Hedgeye exited former longs **SanDisk**, **Marvell** and **Applied Materials** before the drawdowns accelerated, and rotated **out of Utilities into Healthcare**.

Key numbers: KOSPI **~-4.6%** (1-month **~-22%**, **-31%** from peak); Quad path **3-1-2** (bullish) with **~5% SPX downside** still in range; **BJ's Restaurants (BJRI) ~+60%** since its May add; Nasdaq vol near **24** (range 22-31) at a **~19% discount** to realized; **63 Signal Strength longs / 52 shorts = 115 eligible**.

Takeaway: Hold winners while signals hold, cut fast failers via stops. **Gold increased**, **Energy (XLE) newly added** (Exxon a primary driver), **Colombia long**, short **Israel** and **Qatar (largest short)**, plus short **U.S. dollar** and **Treasuries**. Watch **Netflix** for a potential short-to-long flip.

MOMO TRACKER — Momentum Stock Tracker

Momentum Stock Tracker · 08/06 09:13 AM EDT

Takeaway: Mag7 **-0.6%** with **performance and TREND dispersion rising** and an **all-time-high market-on-close (MOC) imbalance** — Keith's “Lots to Do” framing as leadership narrows and dispersion widens beneath the surface.

SIGNAL STRENGTH STOCKS — 65 Stocks (7 Added, 5 Removed)

Signal Strength Stocks · 08/06 12:54 PM EDT

The long list stood at **65 names**. **Added: FSLY, PVH, REAL, BBWI, HD, W, TEAM.** **Removed: CASY, XYZ, BROS, TWLO, ETSY.**

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